

Australian Rental Market Analysis 2026

In 2026, so many more young people are deciding to move out on their own, or with a mate. Some say it's the influence of "Entrepreneurship" from social media, where everyone seems to be moving to Bali, or designing their own workshop in NYC. Or you're just not as cool if you still live with mum at 25 years old. Whatever it is, having our own space seems so much more important than the older generation. That's why I have conducted an analysis of Australia's current rental market, in 2026, to help both myself and whoever stumbled across this read, better understand our current market.

Executive Summary

This analysis examines **6,449** rental property listings across Australia to identify the key factors influencing rental prices. The study focuses on state-level differences, property type variations, bedroom count trends, and rental value using a custom rent-per-bedroom metric.

The findings indicate that location remains the strongest driver of rental pricing, with **NSW** recording the highest average rents. Property type and bedroom count also significantly impact rental costs, while rent-per-bedroom analysis reveals notable differences in rental value across property categories.

State Analysis

Rental prices varied considerably between Australian states and territories.

NSW recorded the highest average rent at approximately \$802 per week, followed closely by WA at \$801 and Queensland at \$774. Tasmania recorded the lowest average rent at approximately \$581.

The small difference between NSW and WA was notable, as NSW is often perceived as Australia's most expensive rental market. This suggests **strong rental demand** and **limited housing supply** in parts of Western Australia during the period analysed. Many properties in WA remain vacant for the majority of the year as they are built for tourist, meaning in the off-season, it's just taking up the land and human resources, instead of putting them towards building new living space for the locals.

Key Findings

- NSW recorded the highest average rent.
- Tasmania recorded the lowest average rent.
- WA's average rent was significantly higher than expected and closely matched NSW.
- Rental prices generally followed population and economic activity levels.

Property Type Analysis

Property type had a significant influence on rental pricing.

Acreage and semi-rural properties recorded the highest average rent at approximately \$1,125 per week. This result is likely influenced by larger land sizes and premium lifestyle locations.

Studios recorded the lowest average rent at approximately \$498 per week, while flats and units also remained among the most affordable property categories. These property types in Australia are typically older with smaller living area.

Apartments were found to be more expensive than detached houses on average, suggesting that location may have a stronger influence on rental prices than property size alone.

Key Findings

- Acreage and semi-rural properties were the most expensive property category.
- Studios recorded the lowest average rent.
- Apartments achieved higher average rents than detached houses.
- Location and property type jointly influence rental pricing.

Bedroom Count Analysis

Rental prices generally increased as the number of bedrooms increased.

Properties with six or seven bedrooms recorded the highest average rental prices among commonly occurring property sizes. However, the relationship between bedrooms and rent was not perfectly linear. As mentioned previously, location is the number one influence on pricing. Even on the same street, simply having more bedrooms could ledge a higher price than even a newer home with less bedrooms.

Several listings with extremely large bedroom counts were identified as outliers and were excluded from the primary analysis due to their limited representation within the dataset.

Key Findings

- Larger properties generally commanded higher rental prices.
- The relationship between bedroom count and rent was positive but not perfectly linear.
- Extreme bedroom counts represented outliers rather than market norms.

Rental Value Analysis

To better evaluate affordability, a rent-per-bedroom metric was developed.

While larger properties had higher overall rents, they often provided better value when assessed on a per-bedroom basis. Single-bedroom properties recorded the highest rent-per-bedroom values, indicating that renters pay a premium for privacy and independent living arrangements.

This finding suggests that shared housing arrangements may provide significantly better value for renters seeking to minimise accommodation costs.

Key Findings

- One-bedroom properties recorded the highest rent-per-bedroom costs.
- Larger properties generally provided better value on a per-bedroom basis.
- Total rent alone is not a sufficient measure of affordability.

Premium Rental Locations

Suburb-level analysis identified several premium rental markets across Australia.

Double Bay NSW recorded the highest average rent at approximately \$4,500 per week, followed by Portsea VIC at approximately \$4,000 per week. These locations significantly exceeded both state and national averages.

The large differences observed between premium suburbs and average rental markets highlight the substantial impact of location on housing costs.

Key Findings

- Double Bay recorded the highest average rent in the dataset.
- Premium suburbs significantly outperformed state averages.
- Location remains the strongest determinant of rental pricing.

Conclusion

The analysis demonstrates that rental prices are influenced by a combination of location, property type, and property size.

While NSW recorded the highest average rents nationally, substantial differences were also observed between property categories and suburbs. Rent-per-bedroom analysis further showed that higher total rents do not necessarily indicate poor value, with larger properties often providing more affordable accommodation on a per-bedroom basis.

Overall, location remains the most influential factor affecting rental prices across the Australian rental market.